

Trader Behavior Insights Based on Market Sentiment

A Data Science Analysis Assignment

Prepared by:

MUTHUKUMARESAN V

Role Applied For:

Junior Data Scientist

Company:

PrimeTrade.ai

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Problem Statement :

Cryptocurrency markets are highly volatile and strongly influenced by investor sentiment, often oscillating between periods of extreme fear and extreme greed. These emotional shifts can significantly impact trader decision-making, risk exposure, and overall trading performance. However, the extent to which market sentiment affects trader behavior and outcomes is not always clearly understood or quantified.

This project aims to analyze how different sentiment regimes influence trader profitability, risk-taking behavior, and accuracy, using historical trading data combined with a market sentiment index.

Objective :

The objective of this analysis is to examine how trader behavior and performance vary across different Bitcoin market sentiment conditions. By integrating historical trade data with a daily market sentiment index, the study analyzes changes in profitability, risk-taking, and trading accuracy under Fear, Neutral, Greed, Extreme Fear, and Extreme Greed regimes.

The goal is to identify behavioral patterns that can support better trading strategies and improved risk management in crypto markets.

Data Overview :

This analysis uses two primary datasets:

1. Historical Trader Data

This dataset contains individual trade-level records from a cryptocurrency trading platform. It includes information such as trader account identifiers, traded asset, execution price, trade size (in tokens and USD), trade direction (buy or sell), timestamps, transaction fees, leverage, and realized profit or loss (Closed PnL). Each row represents a single executed trade.

2. Bitcoin Market Sentiment Data

This dataset provides a daily market sentiment index for Bitcoin, capturing the overall emotional state of the market. It includes the date, a numerical sentiment score ranging from 0 to 100, and a categorical classification such as Extreme Fear, Fear, Neutral, Greed, and Extreme Greed.

To enable joint analysis, both datasets were aligned temporally by converting timestamps to calendar dates and merging on the date field. This allowed each trade to be associated with the prevailing market sentiment on the day it was executed.

Methodology:

The analysis followed a structured data processing and exploration workflow.

First, both datasets were loaded and inspected for consistency and completeness. Timestamps in the trader dataset were converted into standardized datetime format, and calendar dates were extracted to enable temporal alignment with the sentiment dataset.

Next, the datasets were merged using the date field so that each trade record was enriched with the corresponding daily market sentiment classification and index value.

Several derived features were then created to support analysis, including a binary indicator for trade profitability, the absolute profit or loss per trade, and the trade size in USD as a proxy for risk exposure.

Finally, the enriched dataset was analyzed using descriptive statistics, grouping, and visualization techniques to compare trader behavior and performance across different sentiment regimes. Key metrics such as average profit, win rate, and average trade size were computed and visualized to identify behavioral patterns and performance differences

Key Findings :

The analysis reveals clear differences in trader behavior and performance across different market sentiment regimes.

1. Profitability is highest during Extreme Greed.

Trades executed during periods of Extreme Greed show the highest average profit and the highest win rate. This suggests that traders tend to perform better when the market exhibits strong optimism and clear directional momentum.

2. Traders take the largest risks during Fear, but returns do not improve accordingly.

The highest average trade sizes are observed during Fear periods. However, this increased risk exposure does not result in higher profitability, indicating that fear-driven trading tends to be less efficient and more emotionally reactive.

3. Trading accuracy deteriorates during Extreme Fear.

The lowest win rates occur during Extreme Fear, suggesting that heightened uncertainty and emotional stress negatively impact trader decision quality.

4. Neutral markets show the weakest performance.

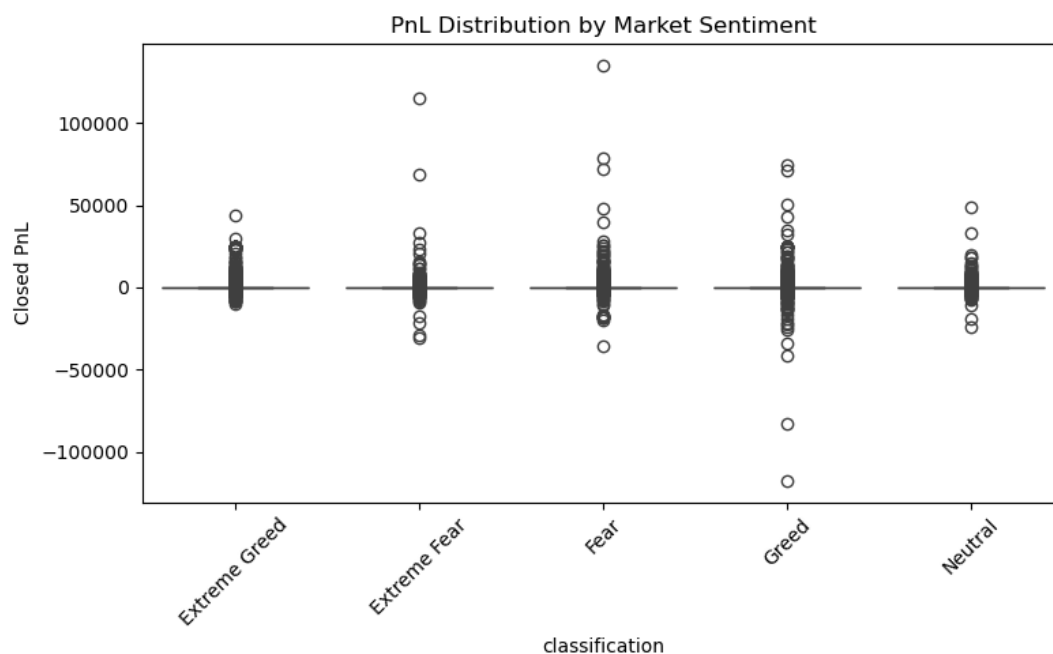
Both profitability and win rates are lowest during neutral sentiment conditions, likely due to reduced volatility and fewer exploitable price movements.

Together, these findings indicate that trader behavior is strongly influenced by market sentiment, with emotional extremes leading to distinct patterns in risk-taking and performance.

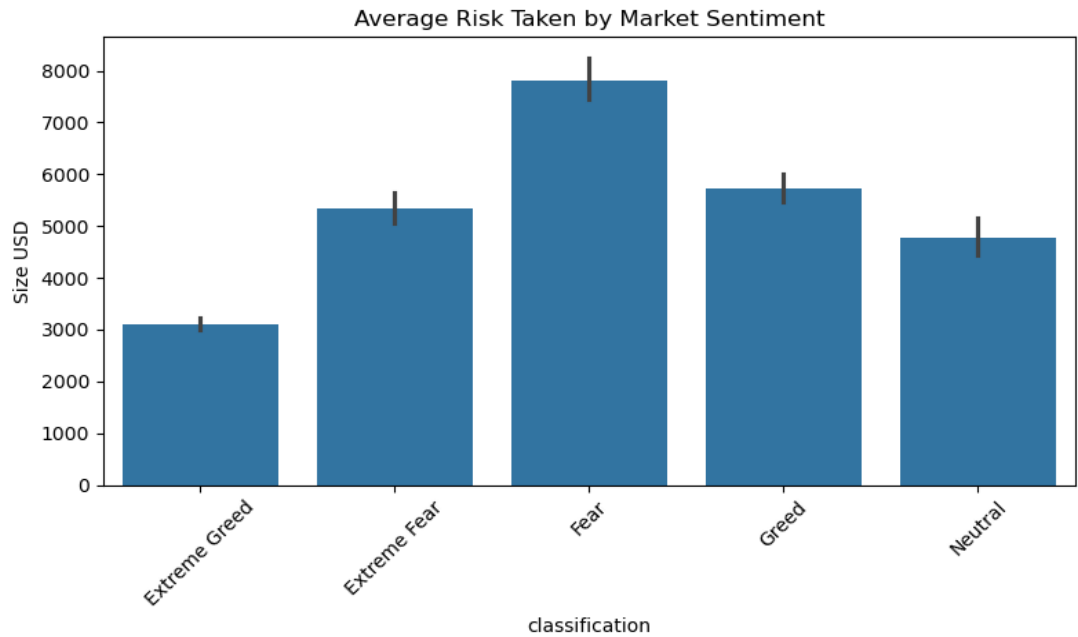
Visualizations :

The following visualizations were used to support and illustrate the findings:

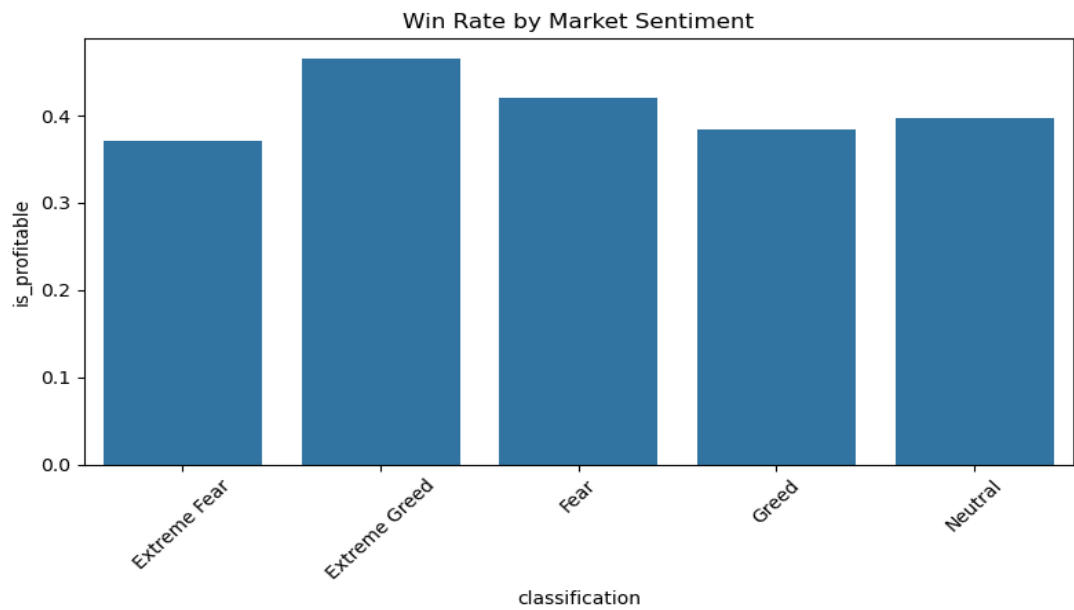
- **PnL Distribution by Market Sentiment:** A boxplot showing how profit and loss distributions vary across sentiment categories.



- **Average Risk by Market Sentiment:** A bar chart comparing average trade size (in USD) across different sentiment regimes.



- **Win Rate by Market Sentiment:** A bar chart showing the proportion of profitable trades under each sentiment category.



These visualizations highlight both the central tendencies and variability of trader behavior under different market conditions.

Strategic Implications :

The findings suggest that market sentiment can be used as a valuable signal for adjusting trading strategies and risk management policies.

During periods of Extreme Greed, traders appear to perform well with relatively lower risk, indicating that strategies can safely scale exposure when strong positive sentiment aligns with market momentum. In contrast, during Fear and Extreme Fear regimes, stricter risk controls and position limits may be necessary to prevent overexposure and emotionally driven trading errors.

Incorporating sentiment-based regime awareness into trading systems could help improve performance consistency and reduce downside risk.

Limitations :

This analysis is subject to several limitations. The dataset represents a limited sample of trades and may not capture all market participants or behaviors. The sentiment index is measured daily and may not reflect intraday sentiment shifts. Additionally, the analysis is descriptive and correlational in nature and does not establish causal relationships between sentiment and trading outcomes.

Conclusion :

This study demonstrates that market sentiment plays a significant role in shaping trader behavior and performance in cryptocurrency markets. Traders tend to achieve higher profitability during optimistic conditions while exhibiting increased risk-taking and reduced accuracy during fearful periods. These insights highlight the importance of incorporating behavioral and sentiment-based signals into trading strategy design and risk management frameworks.